INSEAD MBA · Identifying New Business Models · Session 02

Problem framing and opportunity generation

Steve Chick · Technology and Operations Management

AI will execute whatever frame you hand it. **Framing is the leverage.**

02

The law of the instrument

If you start with a hammer, everything looks like a nail.

FITS

A nail.

The tool matches the problem. Swing away.

FORCES IT

A screw.

You can drive it in, badly. It will not hold.

USELESS

A stack of paper.

The hammer is useless here. You reached for a tool before you understood the problem.

“If the only tool you have is a hammer, you treat everything as if it were a nail.”

Abraham Maslow, 1966

03

Framing pays

Floor-detergent sales are down at P&G.

OLD FRAME

“How do we improve our floor detergent?”

Leads to incremental chemistry tweaks.

NEW FRAME

“Why is the experience of mopping so unpleasant?”

Leads to a redesign of the whole chore.

Swiffer: 11 million starter kits in year one. A billion-dollar category.

P&G stopped improving the detergent and redesigned the chore.

04

Framing pays HermanMiller

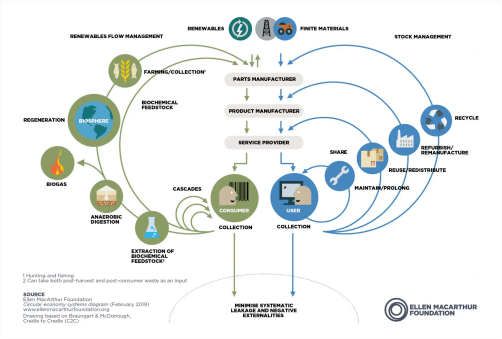
Two ways to frame a chair’s afterlife.

The Aeron chair, same product, two framings of its end of life.

CLASSIC FRAMING · CRADLE TO GRAVE

Raw material (cradle) → conserve, use less, waste less → **Landfill** (grave)

CIRCULAR FRAMING · CRADLE TO CRADLE: DESIGN IT TO COME APART, TAKE IT BACK, RECOVER THE VALUE



Circular-economy systems diagram: Ellen MacArthur Foundation (2019), after Braungart & McDonough, *Cradle to Cradle*.

05

The same Aeron chair, two problem framings

Reframe the problem and you change the solution, the team, and the resources.

FRAME A

“Reduce waste in production.”

WHO’S IN THE ROOM

Operations · Manufacturing

2 functions

THE SAME CHAIR

FRAME B

“Maximize value recaptured at end of use.”

WHO’S IN THE ROOM

Operations · Manufacturing · **Design** · **Marketing** · **Sales** · **Finance** · **Reverse logistics** · **Suppliers**

8 functions, and the chair gets redesigned

06

Entrepreneurship is finding the right problem.

This week, the frame is yours to choose.

07

From problem to thesis

Frame in five steps.

1	**Start with a high-level problem and a user.**	Real people, real pain. Big and vague is fine; that’s the raw material.
2	**Map causes with a fishbone diagram.**	Every bone is a hypothesis about why the problem exists.
3	**Drill to a root-cause tree.**	Follow each loud bone with the five whys. The opportunity is where the branches converge. If the problem moves, loop back to step 1.
4	**Sketch the solution.**	A well-framed problem hands you the solution. Can’t see one yet? Keep drilling.
5	**Frame your business thesis.**	X will buy Y because of Z.

08

STEP 1/5

Problem & user

Start with the problem and the user.

What is the problem? One sentence, no solution hiding inside it.

Who exactly has it? A person you could name: their job, their week, their hobby.

How bad is it? Frequency times pain. A rare, mild annoyance is not a business.

User group: name the person	
Say What they tell you	**Do** What you watch them do
Think What runs in their head	**Feel** What it costs them
Needs	The job to be done
Wants	What good would look like
Pain points	Where today's workaround breaks
Access to tech	Phone, app, none of it

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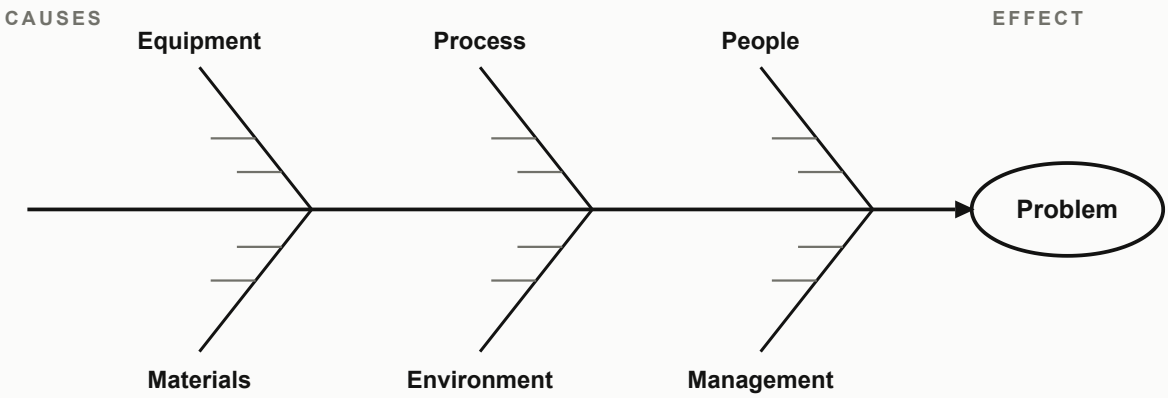
STEP 2/5

Map the causes with a fishbone



THEN DRILL EACH LOUD BONE

Why? → Why? → Why? → Why? → Why? → Root-cause tree

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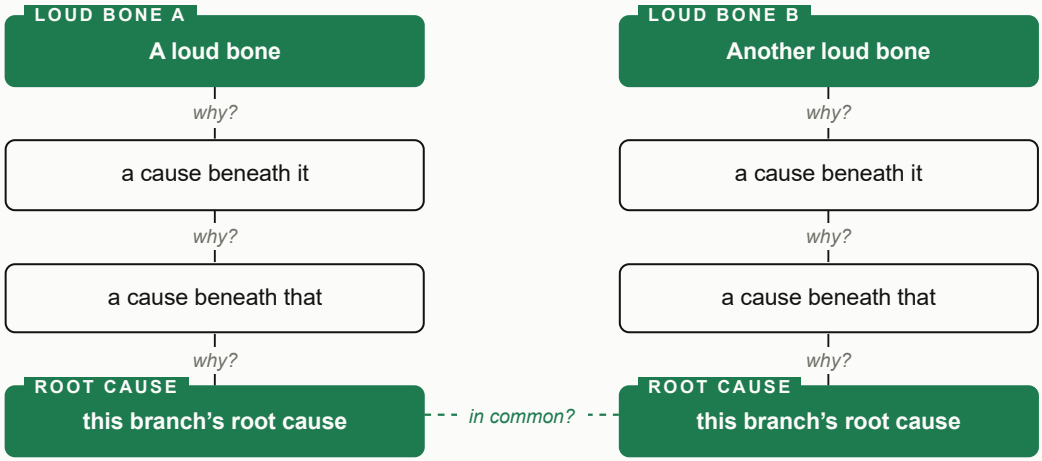
STEP 3/5

Drill the loud bones to a root cause

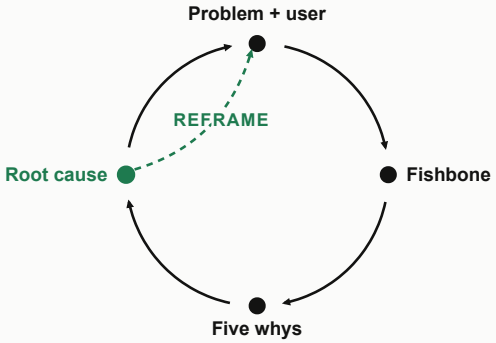


Each loud bone has its own root cause. When two branches land on the same one, **that is a strong signal.**

11

Steps 1 to 3

Framing is a loop, not a checklist.



The whys often move the problem or change the user. That is the method working. **Reframe and run it again until the root cause stops moving.**

> In practice you verify the loop by talking to people. **Not this week.** This week we move fast.

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STEP 4/5

A sharp frame hands you the solution

VAGUE FRAME

A loose problem fits a hundred solutions. You are still guessing which one to build.

SHARP FRAME

A precise root cause points at one solution. You build that one.

If no solution is in sight, the framing is not finished. Go back to the fishbone and drill further.

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STEP 5/5

Frame your business thesis

X will buy Y because of Z.

X the customer you can name **Y** the solution **Z** the reason they buy

One sentence, plain words. A hypothesis you can actually test.

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Step 1 of 5 · worked

Run the method on a real 2020 problem.

You keep hearing the same thing from SaaS founders: **“Customers want the product, ARR is growing, but we’re always short on cash.”** What opportunity is hiding here?

WHAT IS THE PROBLEM?
Growth is constrained by cash, even when customers want the product.

WHO EXACTLY HAS IT?
A founder, CFO, or revenue leader at a growing B2B SaaS company.

HOW BAD IS IT?
It hits hiring, sales velocity, discounting, dilution, and runway.

> Don’t solve it yet. Keep the problem raw for one slide, and resist the founder instinct to jump straight to a product.

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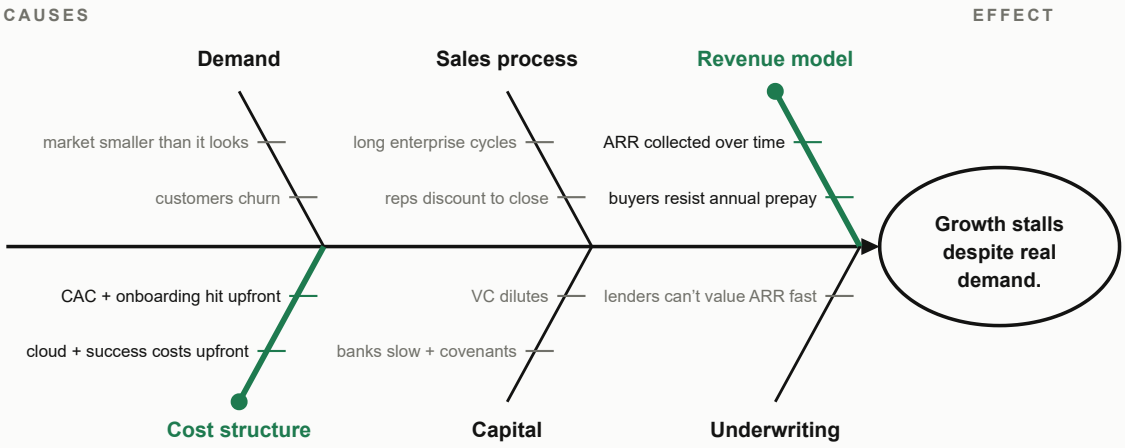
Step 2 of 5 · worked

Map every cause before you choose one.

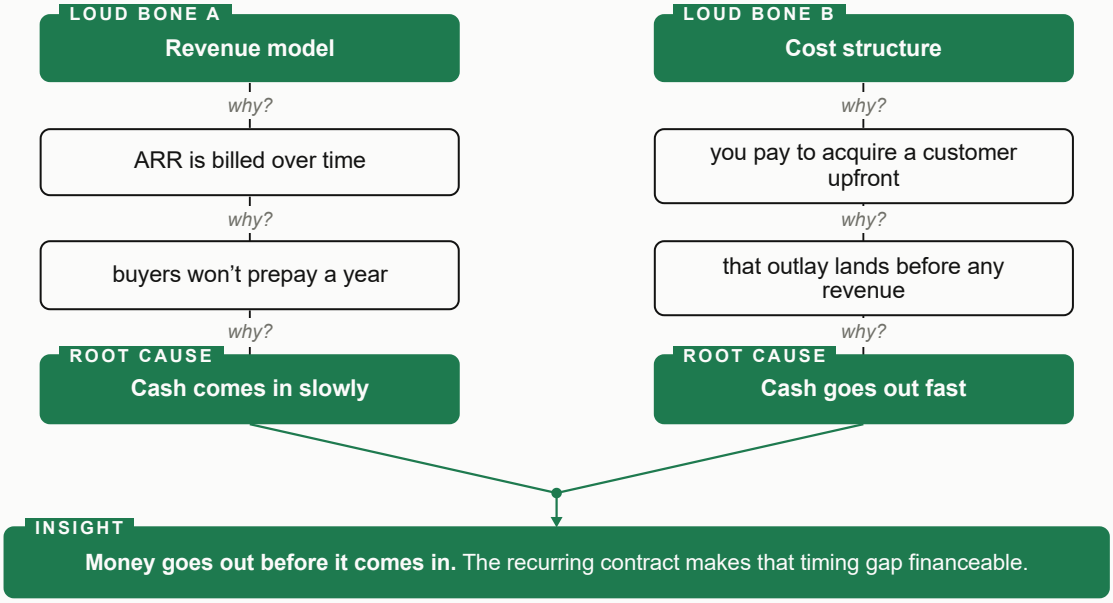


Revenue model and cost structure are the loudest bones. **We drill those next.**

16

Step 3 of 5 · worked

Drill each bone to its own root cause.



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Step 4 of 5 · worked

A sharper frame hands you a sharper product.

ILL-FRAMED

"SaaS startups need more cash."

Now anything is the answer: a VC marketplace, a burn-rate tool, cheaper cloud, a CFO dashboard. The frame gives you no grip.

BETTER

"Recurring revenue is predictable, but the cash arrives after the costs."

Now a solution appears: advance cash today against future recurring revenue.

BEST FRAME

"In B2B software the buyer wants to pay over time, while the vendor needs cash upfront."

Now it is sharp: one player absorbs the timing gap between buyer and vendor.

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The reveal

This is Capchase.

The four co-founders. The INSEAD link: **Luis Basagoiti Marqués, MBA'20D.**

A fix for the timing conflict in B2B software: **the buyer pays over time, the vendor gets cash now.**

> *"Every buyer wants to pay as late as possible, while every SaaS company wants to get paid as early as possible so they can recover their customer acquisition costs. In any of the payment options, one party is playing bank, which creates friction and hurts conversion."*
>
> **Miguel Fernandez Larrea, co-founder & CEO, launching Capchase Pay (2023)**

2020
founded, headquartered in New York

#1
highest-funded MBA startup of 2024, Poets&Quants

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Step 5 of 5 · worked

X will buy Y because of Z.

	X	Y	Z
Capchase Grow launched 2020	CUSTOMER Growing SaaS founders & CFOs	SOLUTION Non-dilutive capital against future ARR	WHY THEY BUY Future revenue is predictable, but growth costs are immediate
Capchase Pay launched 2023	CUSTOMER B2B software vendors and their buyers	SOLUTION Embedded vendor financing (B2B BNPL)	WHY THEY BUY Buyers pay over time; vendors get paid upfront

Same problem structure, two products: **finance the vendor's balance sheet, then finance the transaction.**

20

TONIGHT · A1 · DUE 23:59

Five theses on Torneio, by midnight

1. **Generate 20+ opportunities**: sit by yourself, quiet, a dedicated block of time. Diligent effort beats waiting.
2. **Pick your 5 best**: against the four criteria on the right.
3. **Write each one**: a snappy title + a 100–125-word description: thesis first, then the problem, who has it, what's new or preferred.
4. **Submit each as its own entry**: tournament "INBM June 2026" at www.torneio.org. You register in a few minutes, in this room.

A COURSE-VIABLE IDEA

You'd want to work on it

No novel technology or new product design, think BMI

Limited capital: a few weeks to a validated concept

Serves 25–35-year-old professionals: no hard-to-reach niches

Our course methodology can only test such ideas.

Only generate, do not judge. No self-censoring. Nothing is too simple, obvious, or silly. Crazy ideas are appreciated. Write everything down.

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Generate, select, form, in four days

A tournament is a search.

200 ideas → 40 sixty-second pitches → 10 teams of 4 → final pitches Friday

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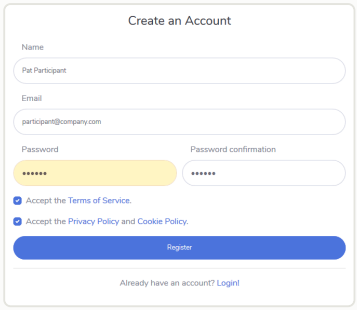
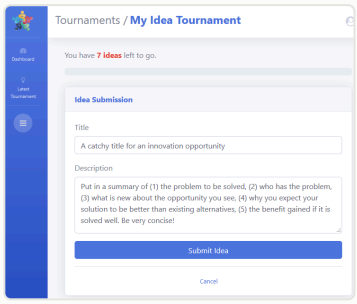
A1 · the flow on torneio.org

Sign up, confirm, join, submit. Each idea is its own entry.

1. Visit **https://www.torneio.org**: note the https, note the .org.
2. Sign up as a new user; confirm via the email you receive.
3. Join Tournament by Token: **the token is on the next slide**.
4. Select the tournament: **INBM June 2026**.
5. Click “Submit an Idea”: **5 separate submissions**, one per idea.

Low-tech trust: write your ideas in a doc first, then paste; don’t ideate into the tool.





torneio.org: create an account, then “Submit an Idea”: five separate entries.

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The tournament is open. Register now, in the room.

Scan to join

www.torneio.org

1

Sign up & confirm

The confirmation email lands in spam: **check your spam folder**.

#1 MISTAKE

2

Join by token

ZVFIZS

3

Find “INBM June 2026”

Select the tournament on your dashboard. Tonight, each idea is its own entry.

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A1 · the gold standard: a thesis first, then 100–125 words

Write it as a thesis: X will use Y because of Z.

THESIS	**Hospitals, ambulance operators, and patients will use StanPlus**, one platform that connects every ambulance to every emergency, **because India has no 911.**
X · CUSTOMER	Hospitals and ambulance operators who already own the vehicles, and the patients who can't reach them in time.
Y · SOLUTION	An "Uber for ambulances": one number, one app, dispatch and tracking across providers. Cheap to build, no fleet to buy.
Z · WHY THEY BUY	Disaggregated emergency response means long waits and lost lives. Coordination is the missing layer.
SECRET SAUCE	Co-founder **Prabhdeep Singh's** deep healthcare network in India opened the doors; smartphones and AI made the platform cheap to build.

Three INSEAD classmates, Prabhdeep Singh, Antoine Poirson, Jose Leon, won the INSEAD Venture Competition. RED.Health now coordinates **10,000+ ambulances across 550+ Indian cities**, while owning almost none of them.

Sources: RED.Health (formerly StanPlus, founded Hyderabad 2016 by INSEAD MBA classmates Prabhdeep Singh, Antoine Poirson, Jose Leon; rebrand Jan 2023, BioSpectrum India); scale per Inc42 profile (2025): 10,000+ ambulances, 550+ cities, asset-light (~5% owned).

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What the crowd will see tonight

Open with the thesis, then back it up sentence by sentence.

VAGUE

TravelMind: the future of travel

"TravelMind is an AI-powered super-app that will revolutionize how everyone plans, books, and experiences travel. The travel market is worth trillions and there is no real competition for what we are building. Users will love the seamless experience and companies will pay for premium access. The possibilities are endless."

No user, no problem, no reason to believe. Fifty words that say nothing.

THESIS FIRST

BridgeStay: back-to-back intern housing

"Landlords near internship cities will list with BridgeStay because it removes the vacancy risk between short stays. Every summer, thousands of interns fight over ten-week rentals while landlords refuse short lets: turnover fees and empty weeks eat the premium. BridgeStay chains consecutive intern stays into one guaranteed twelve-month calendar, with one cleaning contract and one deposit scheme. Interns get vetted, furnished flats sized to their dates; landlords get year-round occupancy at short-stay prices. We start with the internship corridors we know, then expand city by city. First test: fifty pre-commitments from incoming summer interns."

Thesis up front, then pain, mechanism, who pays, and the first test.

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Part 2 · Generate

Let’s start generating ideas.

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Opportunities

An opportunity is a new match between a solution and a need.

A winning opportunity delivers that match to a real customer, and creates value doing it.

Generate now. Save the judging for later.

28

DO NOW · THE QUIET HOUR

Silent, solo, on paper.

1. **Laptops closed, paper out**: silence while the cards turn.
2. **Start generating**: if full ideas won't come, words are enough.
3. **Mine your passions, skills, annoyances**: markets you already understand.
4. **Aim at your colleagues**: ideas they relate to get more accurate ratings.
5. **Do not judge**: nothing is too simple or too silly. Write everything down.

GENERATE, DON'T JUDGE

20+

raw opportunities before you leave. Five become theses tonight. Burnt out? Stand, stretch, come back.

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Stimuli · the product / service view

Nine ways to manufacture an opportunity.

Spray, don't study: the full catalog is on the LMS. Generate against each card as it turns.

1/9
Look for a cool innovation
Alternate solutions, alternate needs.

2/9
Follow your lead-user passion
Shortcomings in high-performance products.

3/9
Daily annoyances
Universal and vexing. Then dream the fix.

4/9
De-commoditize
Take something upmarket: brand, convenience, luxury.

5/9
Bring down-market
An alternate solution to the same need.

6/9
Social & demographic trends
Anticipate future needs.

7/9
Geographic transfer
Import what works elsewhere. Use your international exposure.

8/9
Exploit new technology
AI is the medium now, not a trend on the list.

9/9
Look for blue oceans
Uncontested market space: the INSEAD classic.

30

STIMULUS 1/9

Look for a cool innovation
Split any innovation into a need and a solution. Swap each side.

Dissolvable caffeine strips. One need (caffeine), one solution (a film strip). Hold one side still and swap the other.

HOLD THE NEED · CAFFEINE, NO COFFEE

What else delivers it?

- A caffeine **spray**
- Caffeine **jelly beans**
- **Sweetener packs** that wake you up

HOLD THE SOLUTION · A FILM STRIP

What else could it carry?

- **Painkillers**, no water needed
- **Vitamins** for kids who hate pills
- **Flavour** dosed onto a plate

Your turn. Hold one side still, swap the other: first more needs, then more solutions.

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STIMULUS 2/9

Lead-user passion

Your obsession is a market you already understand. You are the lead user.

CAMELBAK

A water-bottle problem on a long, hot race: an IV bag, a hose over the shoulder, clamped with a clothespin.

Michael Eidson
Cyclist and EMT · the lead user who built CamelBak

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STIMULUS 3/9

Daily annoyances

Solve what annoys you. A pain you feel is a market you understand.

Bank fees ate **~£500** on a £10,000 transfer. Two friends started swapping at the real rate. That became **Wise**, now listed on the London Stock Exchange.

Taavet Hinrikus
INSEAD MBA '10D · Skype's first employee

STIMULUS 4/9

De-commoditize a commodity

Move a commodity upmarket.

Take an inexpensive, **undifferentiated** product: flour, mints, table salt, algae.

Ask what its **deluxe version** looks like, and why it doesn't exist yet.

Add brand, convenience, or luxury, and **charge for it.**

FULfoods
future proof ingredients

FUL Foods turned spirulina, a commodity algae, into a premium drink and a natural blue food colour. Julia Streuli, Sara Guaglio and Cristina Prat (INSEAD MBA '19D) won the INSEAD Venture Competition.

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STIMULUS 5/9

Bring it down-market

Take an expensive, excellent thing and strip it to the essential.

Find a great service only a few can afford. Cut what they don't need, and deliver **~80% of the value at ~20% of the cost.**

THE WIN

Anova took lab-grade sous-vide that cost **$1,000+** in restaurant kitchens and put the same precision in a **sub-$200** home device.

Sold to Electrolux, 2017

THE CAUTION

FLASH COFFEE

Flash Coffee took barista coffee down-market across Asia at half the price, and grew fast on cheap funding.

Singapore business liquidated, 2023

Down-market only survives if the **unit economics** come down with the price.

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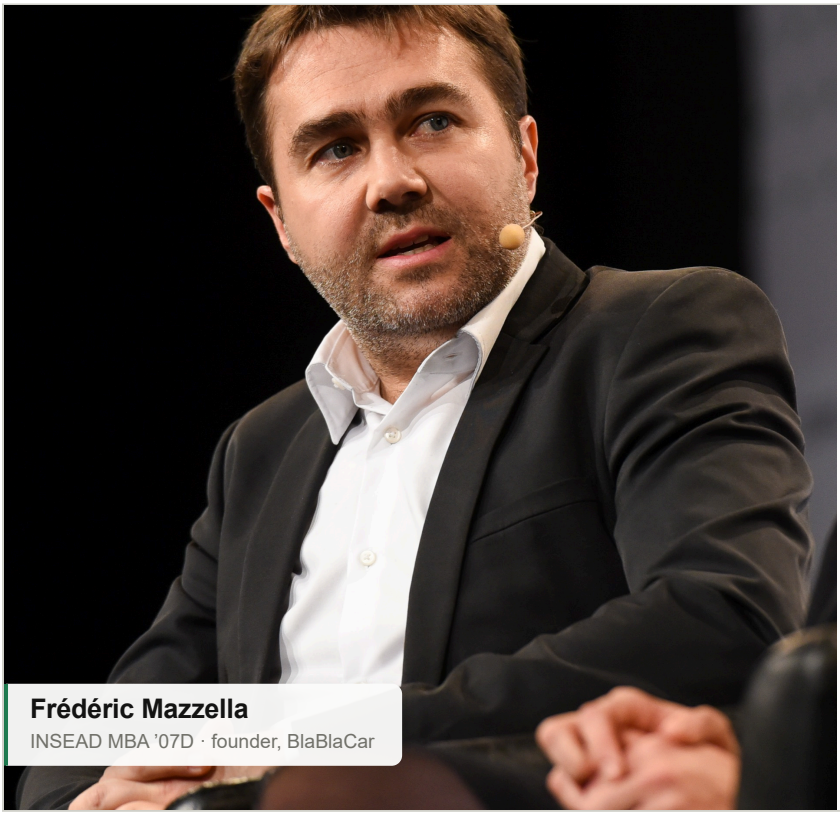

Frédéric Mazzella
INSEAD MBA '07D · founder, BlaBlaCar

STIMULUS 6/9

Demographic trends

Ride a wave that's already moving.

Spot a shift in how people live or spend. **BlaBlaCar** turned strangers trusting strangers online into full car seats, owning no cars.

BlaBlaCar

WAVES MOVING NOW, PICK ONE

Longevity · aging populations	**The loneliness epidemic**
Privacy · de-Googling	**Solo living** · one-person homes
GLP-1 ripple · Ozempic effects	**Sober-curious**

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STIMULUS 7/9

Geographic transfer

Innovations get stuck in one geography. Carry one across a border.

WHERE IT ALREADY WORKS		WHERE SOMEONE BUILT THE BRAND
THAILAND **Krating Daeng**, a local tonic	→	WORLDWIDE the energy-drink category
MILAN the Italian espresso bar	→	SEATTLE the third-place coffeehouse
SI RACHA, THAILAND a local **chili sauce**	→	UNITED STATES Sriracha, a pantry staple
THE AMAZON, BRAZIL **açaí**, an everyday staple	→	CALIFORNIA the brunch-bowl craze

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Tim van Vliet & Michael Badeski
INSEAD MBA '19J · co-founders

SPOTLIGHT

Geography meets technology

INSEACT
Feed with Impact

Move the innovation to where it's needed.

Black-soldier-fly protein, farmed on palm-oil by-products, turned into aquaculture feed in Singapore and Indonesia. A geography and a technology, combined.

Acquired, 2023

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STIMULUS 8/9

Exploit new technology

What does AI let you do that you couldn't do before?

KARHUB · BRAZIL, 2019

A marketplace that speaks auto parts.

The mess: used parts scattered across thousands of scrapyards

The unlock: everyone suddenly comfortable buying and selling on their phones

The build: a certified marketplace matching buyers to fragmented inventory

Run the question against your own week. **What can you build today that was impossible last year?**

KarHub

Leonardo Canepa
INSEAD MBA '15D · São Paulo

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SPOTLIGHT

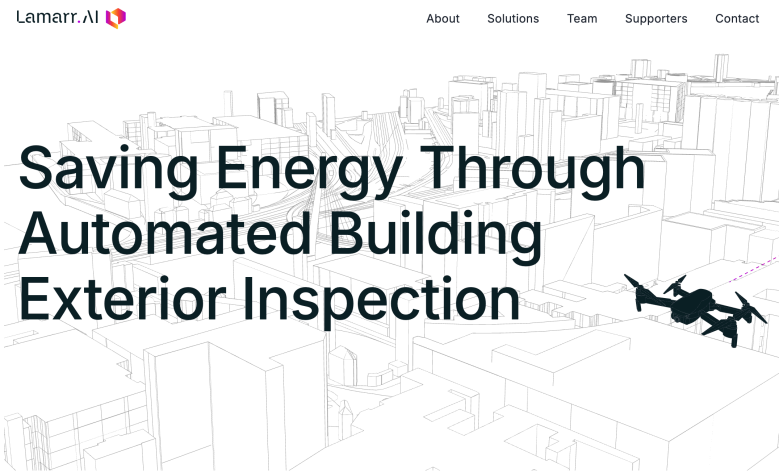
Exploiting new technology

Lamarr.AI

Drones plus AI now read a building's skin.

Inspecting a building's envelope used to mean a person on a lift, working slowly. Drones and AI now find the heat leaks and defects fast. A Georgia Tech and MIT research spin-out.

Dr. Tarek Rakha
Co-founder & CEO · Georgia Tech



AI-powered envelope diagnostics to accelerate the transition to Net Zero buildings.

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Breather: vista 41 / 65

Part 3 · Patterns

Patterns in business models.

Now we manufacture opportunities on purpose.

42

Divider: Patterns 42 / 65

What was your favorite case in the core?

Turn the creative act into an analytical search.

1 · ABSTRACT

Name the move behind a win.

Strip the company away and keep the move. Uber matched idle drivers to riders through an app. The real move is matchmaking.

Uber

→

2 · UNDERSTAND

Learn when it pays.

Both sides fragmented, search costly, trust scarce. Those are the conditions where matchmaking creates value.

→

3 · TRANSLATE

Carry it somewhere new.

RED.Health ran the same matchmaking on ambulances in India. Same move, new market.

RED.

A creative task becomes an analytical one: find the move, learn its rules, then go looking for the next place it fits.

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The theory of a business.

TIMELINE OF EVENTS

PROFIT FORMULA

Revenue model
Price · volume (market size) · ancillary sales

Cost structure
Direct and indirect costs · economies of scale and scope

Resource velocity
Lead times · turns · throughput · utilization

RISK EXPOSURE

Riskiness of revenues, costs, and resource velocity
Sensitivity of profit to changes in price, volume, cost, and utilization

Information risk

Incentive risk

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The menu · business model innovation

Change the formula, the timeline, or the relationships.

Run your seed past each family the way you ran it past the nine stimuli.

CHANGE THE PROFIT FORMULA

What it moves: cost, revenue, resource velocity.

Go low touch
Automate costly human contact. Cut the cost, then the price.

Focus and standardize
One segment, one job. Break the quality-cost trade-off.

Subscribe
The focus pattern's revenue twin: predictable, retained.

CHANGE THE TIMELINE

What it moves: the order and timing of events.

Speed up
Compress clock-speed. Decide after the information arrives.

Commit after information
Hold the decision open until uncertainty resolves.

CHANGE THE RELATIONSHIPS

What it moves: information and incentive risk.

Build a marketplace
Match two sides, build trust, cut search costs.

Disintermediate
Cut the middleman. Sell direct, own the customer.

Modularize and servicize
Standard blocks, multiplied variety. Sell the outcome, not the asset.

After Girotra & Netessine, "Four Paths to Business Model Innovation," Harvard Business Review, July–August 2014.

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PATTERN · LOW TOUCH

Strip out costly human contact; let technology carry the load.

THE INNOVATION

Eliminate or automate costly human contact; substitute technology.

Cut the cost, then cut the price.

WORKS BEST WHEN

Labour is a big share of cost.

Contact adds no value for the segment.

The technology is good enough.

classpass

Payal Kadakia & Sanjiv Sanghavi
One app for thousands of studios · $1B unicorn (2020), bought by Mindbody (2021)

peach cars

Kaoru Kaganoi
Used cars online in Nairobi · INSEAD MBA '16J · $11M Series A (2025)

Sources: ClassPass (Payal Kadakia & Sanjiv Sanghavi; $285M at a $1B valuation, 2020; acquired by Mindbody, 2021); Peach Cars (Kaoru Kaganoi, INSEAD MBA '16J, & Zachary Petroni; Nairobi used-car marketplace; $5M seed 2023, $11M Series A 2025).

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PATTERN · FOCUS & STANDARDIZE

Do one thing, and break the quality-cost trade-off.

THE INNOVATION

Focus on **one segment** of the market.

Standardize the operation around it; lift service as you go.

Decrease both **revenue and cost.**

WORKS BEST WHEN

Different segments have genuinely **different needs.**

Mixing segments **complicates the operation.**

Chick-fil-A
A narrow menu, the highest sales per store in U.S. fast food.

Ryanair
One aircraft type, one class, no frills.

Narayana Health
High-volume cardiac surgery at a fraction of the cost.

Aravind Eye Care
Cataract surgery on an assembly line, ~$50 a case.

Focus examples: Chick-fil-A (highest U.S. fast-food sales per store); Ryanair (single 737 fleet); Narayana Health (Dr. Devi Shetty; ~$2,000 open-heart surgery); Aravind Eye Care (Dr. G. Venkataswamy; ~2,600 surgeries per surgeon per year).

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FOCUS + SUBSCRIPTION

DOLLAR SHAVE CLUB

One blade, one box, on repeat.

One product, one segment, sold by subscription: the blades just arrive and nobody re-decides. Focused operations made it **better and cheaper at once.**

Unilever paid $1B, 2016

Michael Dubin
Founder, Dollar Shave Club

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PATTERN · SPEED UP THE TIMELINE

Compress the clock-speed and you out-react the giants.

THE INNOVATION

Compress the cycle; decide **after** the information arrives, not before.

Trade a little cost for far less risk of guessing wrong.

WORKS BEST WHEN

Demand is **uncertain** and hard to forecast.

The cost of a wrong guess beats the speed premium.

Gap design to store	**~9 months**
Zara / H&M design to store	**~2 weeks**
Shein "real-time fashion"	**days**

With a nine-month lead time you can't forecast a trend; with a two-week loop you don't have to. Shein pushed it to the extreme, **speed alone is not a strategy.**

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Pierre-François Thaler
INSEAD MBA '99 · co-founder, EcoVadis

LOW TOUCH + FOCUS + SPEED

ecovadis

Three patterns, one company.

A focused factory for sustainability ratings: analysts score uploaded documents, one supplier, one number. **Low touch and fast: about 80% of a full audit, in far less time.**

Unicorn since 2022 · 150,000+ companies rated

Sources: Insead.com bio (Thaler, [illegible]); EcoVadis $5[illegible]e at unicorn v[illegible]uation, Jun 2022; 150,000+ rated companies per company data.

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PATTERN · MARKETPLACES & PLATFORMS

Match two sides that can’t find each other.

THE INNOVATION

Connect two sides; **build the trust and cut the search** that kept them apart.

Own the match, not the inventory.

WORKS BEST WHEN

Both sides are **fragmented** and hard to find.

Search is costly and **opportunism is a risk.**

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MARKETPLACES · THE FOUR JOBS

A platform does four jobs.

1 · THICKEN THE MARKET

Pool both sides.

Raise the odds of a supply-and-demand match.

2 · CREATE TRUST

Ratings, escrow, insurance.

Make strangers safe to transact with.

3 · DISCOVER PRICES

Aggregate information.

Kill the haggle. Surface what things are worth.

4 · MANAGE CONGESTION

Coordinate the crush.

Rules and pricing so the busy market still clears.

RED.Health from the rubric ran this exact pattern: India had the ambulances; it had no platform to match them to patients.

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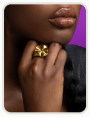
SOKO

Artisans plus a basic phone equal a global supply chain.

A marketplace that matches thousands of Kenyan artisans to global buyers, orders, trust, and payment, all over a mobile phone. **Tomorrow's case.**



The jewellery is the artisans'. **Soko is the platform.**

Ella Peinovich
Co-founder, Soko · INSEAD Entrepreneur-in-Residence

Sources: MIT News profile of Soko; shopsoko.com (product image); Peinovich INSEAD Entrepreneur-in-Residence and co-founder of Powered by People.

PATTERN · DISINTERMEDIATION

Cut out the middleman. Sell direct, own the customer.

THE INNOVATION

Cut the sales channel, sell **direct**, or through an alternate channel.

Increase revenue and **reduce exposure** to others' actions.

WORKS BEST WHEN

Channel profits and **incentive misalignment** are high.

The channel adds little, search, delivery, inventory, customization.

The product **can be sold online.**

knix DOLLAR SHAVE CLUB

knix

Pull out of every store. Sell direct.

Leakproof underwear for real bodies. Griffiths pulled Knix out of **~700 retail doors in 2016** to sell direct online, then sold more in 30 days than in the years before.

Essity bought 80% for US$320M, 2022

Joanna Griffiths
INSEAD MBA '12J · founder

Sources: Essity press release (Jul 2022, 80% for US$320M, ~$400M enterprise value); INSEAD alumni profile (Griffiths, MBA '12J).
Knix exited ~700 wholesale doors in 2016 to go direct-to-consumer (Glossy, Modern Retail).

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PATTERN · MODULARITY

Standard blocks that connect through standard interfaces.

THE INNOVATION

A product built from **standard, interchangeable blocks** that connect through **standardized interfaces.**

You get most of the benefit of a **fully custom** product, with operations that stay **standardized.**

WORKS BEST WHEN

Customers want **variety** you can't afford to build bespoke.

The same blocks **reuse** across many products or sites.

Car platforms
One chassis under many models.

LEGO
Standard bricks, endless builds.

Subway
Standard fillings, your sandwich.

Modular construction
Factory-built blocks, assembled on site.

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Daniel Layug & team
INSEAD MBA '17D · PeoplePods

THE MODULARITY HIGHLIGHT

People Pods

Start from the problem, not the building.

The problem: affordable, dignified housing for migrant workers in Singapore and Indonesia. **Standardize the block, multiply the variety.** This venture started in this class.

35th INSEAD Venture Competition winner

Sources: intheknow.insead.edu (PeoplePods); insead.edu bio (Layug, MBA '17D); winners of the 35th INSEAD Venture Competition and its Social Impact Award.

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PATTERN · SERVICIZATION

Sell the outcome, not the object.

THE INNOVATION

Sell the result; keep the asset and the risk.

Align everyone's incentives on the outcome; decouple value from material use.

WORKS BEST WHEN

The customer hates owning the asset or the risk.

You can pool the risk, or you simply know more.

EMMA SAFETY FOOTWEAR

Sell safe feet, not safety shoes.

Safety footwear **as a service**: on-site fitting, a maintenance kit, and circular take-back at end of life. **Tom Hermans, CEO** · INSEAD case by Calmon.

Flock Safety

Sell safe neighborhoods, not cameras.

Cameras and analytics sold as a public-safety service. **Valued at $7.5B** in its 2025 round.

Sources: Emma Safety Footwear (CEO Tom Hermans; founded 1931; acquired by Hultafors Group, 2020); INSEAD case "EMMA Safety Footwear (A): Designing a Circular Shoe" (Calmon et al., 2021). Flock Safety (Atlanta), valued at $7.5B in its 2025 round.

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THE FULL MENU

Your prompt list, in the room and tonight.

Stuck? Run your seed down each column. Pair it with the nine stimuli and you have the whole toolkit.

PROFIT FORMULA · MOVES COST, REVENUE, VELOCITY

- Long-tail markets (↑rev ↑cost)
- Go low touch (↓rev ↓cost)
- Standardization / focus (↓cost)
- Focused subscription (↑retention)
- Bundling (↑rev ↓entry cost)

TIMELINE · MOVES THE ORDER OF EVENTS

- Speed up the timeline (↓risk ↑cost)
- Commitments after information (↓risk ↑cost)
- Dynamic pricing (↓risk)
- Private sales (↓risk ↑rev)
- Advance information (↓risk ↓rev)

RELATIONSHIPS · MOVES INFORMATION & INCENTIVE RISK

- Disintermediation (↑rev ↓partner risk)
- Intermediation: matchmaker (↓search costs)
- Reputation & trust (↓opportunism)
- Modularization: standard blocks (↓cost ↓risk)
- Servicization: sell the service, not the asset

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TONIGHT · USING AI WELL

Use AI to refine your ideas, not to generate them.

1. **Generate yourself first**: your problems, passions, annoyances. The variance comes from you.
2. **Research with AI**: size the market, find the user, check who has tried it before.
3. **Refine the framing**: pressure-test your thesis; sharpen X, Y and Z.
4. **Wordsmith the write-up**: tighten to 100–125 words. Avoid the em-dash tell.

YOUR OWN 20, REFINED

5

theses to submit, drawn from the 20 ideas you generated. You stay the source of variance.

Girotra, Meincke, Terwiesch & Ulrich, 2023. Taken one at a time, AI ideas score high; GPT-4 ideas were far likelier to land in the top decile of purchase intent.

Meincke, Mollick & Terwiesch, 2024. But a batch of AI ideas clusters: low variance. So generate for breadth yourself, and let AI research and refine.

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Tonight · the guardrails

You bring the ideas. AI sharpens them.

You generate, AI refines: your ideas in; research, sharper framing, and tighter prose out.

Lean on it to generate and variance drops: AI ideas cluster. Breadth has to come from you.

Your own voice: the crowd rates descriptions; robot prose gets robot-grade ratings. Avoid the em-dash tell.

The funnel runs on humans: Torneio's crowd tonight, real customers later this week.

> *"Feel free to use AI in any way that you want. I believe that LLMs can be useful in idea generation tasks but are generally better when you (1) give a narrower target area or include constraints or (2) use it as an exploratory aid to get some ideas that you will then personally refine."*
>
> Assignment 1, course outline

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THE CLOCK

Three deadlines before tomorrow's class.

A1 · tonight 23:59

Five theses on Torneio

Finish your 20 tonight, pick your 5 best. A snappy title + a **100–125-word description** each, in your own voice. Each idea is its own entry.

A2 · Wednesday 13:30

Rate 75+ ideas

0–10, fast thinking, anonymous. Ignore any on-screen limit; more is better.

A3 · Wednesday 16:30

Pitch + slide

A **60-second pitch** and ONE **PDF** slide: name, concept, and pitch order top-left. Upload on the LMS.

CUTOFF **16:30** PDF merge deadline: credit runs to 17:30, but upload after 16:30 and you pitch slideless.

Tomorrow: 40 pitches, 60 seconds each · the class multivotes · 10 teams of 4 form.

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Stealth = stupid.

Ideas are cheap; **follow-through** is the glory. Be ethical: never pitch a classmate's idea **without permission**.

Value of a venture = quality of idea × quality of execution

Idea $0 to $1,000 **Execution** $0 to $1,000,000

A grade-B idea with grade-A execution beats a grade-A idea with grade-B execution.

Georges Doriot, who founded INSEAD.

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16–19 June · deliverables

Four day plan

DONE

TUE 16

Generate

Sessions 01–02: myths, the idea factory, tournament launch

Tonight: finish **20+ ideas**, pick 5, submit as **A1** · **due 23:59**

Register on Torneio · **live in Session 02**

YOU ARE HERE

WED 17

Select

A2 · rate 75+ ideas, 0–10 · **due 13:30**

A3 · 60-second pitch + one PDF slide · **upload by 16:30** for the merged pitch deck · credit until 17:30

A4 · multivote, in class · 10 teams of 4 form

THU 18

Refine

A5 · Business Thesis + Value Creation Analysis · **due 21:00**

Customer discovery, live in class

FRI 19

Validate

A6 · peer review · **due 8:30**

A7 · concept + prototype pitch · **due 8:30**

A8 · community survey, in class

Validated theses

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Go generate.

Five theses by 23:59 tonight · stephen.chick@insead.edu · rate & pitch Wednesday

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